

BEFORE THE FEDERAL MARITIME COMMISSION

Phillip Marciano LLC, Complainant

v.

US Cargo Services Inc., Respondent

Docket No. 25-11

RESPONDENT'S RESPONSE TO ORDER REQUIRING ADDITIONAL INFORMATION

Respondent, US Cargo Services Inc. ("Respondent" or "US Cargo"), by and through its authorized representative, respectfully submits this Response to the Order Requiring Additional Information issued by Chief Administrative Law Judge Erin M. Wirth on August 26, 2025.

I. Respondent's OTI License and Status

1. Respondent is a licensed Non-Vessel-Operating Common Carrier (NVOCC), FMC OTI License No. 027452N, as defined under 46 U.S.C. § 40102(17) and 46 C.F.R. § 515.2(k).
2. In the transactions at issue, Respondent acted solely in the capacity of a freight forwarder and delivery agent at destination, not as the contracting carrier with Complainant.
3. Respondent therefore had no direct contractual or commercial relationship with Phillip Marciano LLC.

II. Respondent's Role in the Shipments

4. The shipment at issue were booked overseas by Maple Consolidation (Bangladesh), an international freight forwarder, under Delivered Duty Paid (DDP) terms. Under Incoterms DDP, the seller/shipper retains full responsibility for import clearance, payment of duties, and delivery until goods are made available to the named consignee.
5. Respondent acted pursuant to 46 U.S.C. § 40102(19) and 46 C.F.R. § 515.2(o) definitions of an "ocean freight forwarder," meaning its role was limited to processing documentation and performing related delivery activities incident to this shipment.
6. Delivery instructions were controlled entirely by the booking party, Mr. Tausif Hassan of D&T; Apparel/Deal Zone, and the overseas forwarder, Maple Consolidation.
7. Upon arrival, Respondent released the container strictly in accordance with instructions from Maple Consolidation and Mr. Hassan.

III. Lack of Privity or Dispute with Complainant

8. Respondent had no privity of contract with Complainant. The bills of lading were issued by overseas agents (Maple Consolidation). Respondent was merely the delivery agent nominated at destination.

9. The Commission has consistently held that a complainant bears the burden to demonstrate jurisdiction and to show that a respondent engaged in an “unjust or unreasonable practice” under 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.4.

10. Here, Respondent’s conduct was limited to following DDP delivery instructions. Any withholding or non-delivery alleged is attributable to Complainant’s own nominated agent (Hassan/D&T; Apparel/Deal Zone), not Respondent.

IV. Relationship with Tausif Hassan

11. Respondent’s limited relationship to Mr. Hassan was only by virtue of Maple Consolidation’s designation of him as the booking party. Respondent was bound to follow the instructions of the booking party and overseas agent, consistent with FMC practice governing freight forwarder delivery obligations.

12. Mr. Hassan is not an exclusive agent of Respondent. This is evidenced by:

- Bill of Lading OSSPL/US/24-25/1949, covering Container No. HLBU2932467, booked through OAK Shipping Services Pvt. Ltd. and Union Logistics Inc., not Respondent.

- Bill of Lading OSSPL/US/24-25/1921, covering Container No. TIIU5917424, also booked with OAK Shipping/Union Logistics, not Respondent.

13. These examples demonstrate that Mr. Hassan regularly utilized multiple freight forwarders, further confirming that Respondent was not his exclusive shipping broker.

V. Location of the Cargo

14. Respondent is presently unaware of the current location of the cargo/containers.

15. Respondent’s obligations ceased once the shipments were released pursuant to delivery instructions from Maple Consolidation and Mr. Hassan.

16. Under 46 U.S.C. § 40102(7), a “common carrier” assumes responsibility for transportation from port of receipt to port of destination. Respondent did not issue the bills of lading, did not act as contracting carrier, and therefore had no authority or responsibility to trace the cargo beyond delivery at destination.

VI. Section 41102(c) Factors

17. To establish a violation of 46 U.S.C. § 41102(c), Complainant must prove five elements as codified in 46 C.F.R. § 545.4.

18. Even if Respondent is licensed as an NVOCC, elements (b), (d), and (e) are not met here:

- The alleged conduct was not continuous or customary but a one-off dispute.

- Respondent acted reasonably in following instructions of the overseas booking party and did not impose an unjust practice.

- Any loss claimed is proximately caused by Complainant’s broker (D&T; Apparel/Deal Zone), not Respondent.

VII. Duplicative Litigation and Claim Splitting

19. Complainant has filed substantially the same dispute both before this Commission and in the United States District Court for the District of New Jersey.

20. Pursuing the same claims in two forums constitutes impermissible claim splitting, a doctrine which prohibits litigants from maintaining duplicative lawsuits involving the same subject matter. See *Curtis v. Citibank, N.A.*, 226 F.3d 133, 139 (2d Cir. 2000).

21. Allowing parallel proceedings risks inconsistent judgments, imposes unnecessary burdens on Respondent, and wastes the resources of the Commission.

22. The doctrine of primary jurisdiction also supports dismissal or stay of duplicative claims. See *Carnation Co. v. Pacific Westbound Conf.*, 383 U.S. 213 (1966).

23. To preserve judicial economy and avoid conflicting outcomes, Respondent respectfully requests that the Commission either dismiss or stay this proceeding pending resolution of the District Court action, or decline jurisdiction over claims already being litigated before the District Court.

VIII. Conclusion

For the foregoing reasons, Respondent respectfully submits that:

- It acted solely as a freight forwarder pursuant to DDP instructions from Maple Consolidation and the booking party, Mr. Hassan.
- It had no contractual or commercial relationship with Complainant and therefore cannot be held liable under the Shipping Act.
- It has provided its license information, clarified its role, provided evidence regarding its non-exclusive relationship with Mr. Hassan, addressed the cargo location issue, and raised the duplicative litigation concern in accordance with the Court's Order.

Accordingly, Respondent requests that the Commission find the Verified Complaint fails to state a valid claim under 46 U.S.C. § 41102(c) or 46 C.F.R. § 545.4, and further, that this proceeding should be dismissed or stayed as duplicative of the District Court litigation.

Respectfully submitted,

US Cargo Services Inc.

18120 West Bellfort St., Unit E

Richmond, TX 77407

OTI License No. 027452N

Dated: September 22, 2025

CERTIFICATE OF SERVICE

I hereby certify that on September 22, 2025, a true and correct copy of the foregoing Response to Order Requiring Additional Information was served via email and/or first-class mail upon:

Phillip Marciano LLC / Law Offices of Jason J. Rebhun, P.C

and

Federal Maritime Commission

Office of the Secretary

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Washington, D.C. 20573